

fordable transportation option, they stand to lose the most, should bike-taxis get regulatory approval. Per Pasha, the advent of bike-taxis has caused a decline of around 40 per cent in the incomes of autorickshaw drivers, but they are now starting to recover some of their lost revenues due to a reduction in the number of cabs.

Meanwhile, commuters across cities are looking for affordable and efficient transportation options that cover the first- and last-mile commute. With most docked and rental bike start-ups like Bounce, Vogo and On-track having pivoted or shut shop, the bike-taxi market is wide open for the persistent player to capture. And while ride-sharing platforms saw a slump during the Covid-19 pandemic, as lockdowns ended and cabs didn't return on roads, bike-taxis have managed to capitalise on it.

"The [bike-taxi] industry has really seen acceptance over the years. It was quite small till CY19, and de-grew in 2020, but since last year, growth has been phenomenal. If you compare CY20 with CY22, bike-taxi rides have grown 2.5 to 3x," says Ujjwal Chaudhry, Partner at RedSeer Management Consulting.

IN ALL THIS, Rapido's vision is crystal clear: don't let the empty back seat of a bike go to waste, when it can be a source of income. "It's economical and ecological," says Sanka. And this focus on efficiency doesn't stop at ferrying people around the city. The ride-sharing platform has expanded its services to include food and courier deliveries, an area where competitors Uber and Ola have yet to make any significant inroads. It has partnered with Swiggy—that is an investor in the company—and Amazon and JioMart, to allow its fleet of Captains to switch gears and become delivery agents, whenever the need arises. From ferrying office-goers and college students in the morning and evening, to fulfilling lunch and dinner-time food deliveries, to handling e-commerce shipments in the slower afternoon hours, Captains on the platform have the option to stay busy all day long.

"A majority of its [Rapido's] Captains work part-time. Without food delivery and bike-taxi being complementary, they won't make enough money as a full-time rider.

The strategic partnership with Swiggy has really helped them. Rapido is the only one with tight integration with food and e-commerce players," says a former bike-taxi founder who wishes to remain anonymous. "It's a superb business. There is no fixed cost, no customer acquisition spends. It is their biggest competitor moat right now."

Rapido is looking to enhance the efficiency of its fleet.

Per sources that *BT* spoke to, the company is considering transitioning its fleet from traditional internal combustion engine (ICE) vehicles to electric two-wheelers. This would align with new regulations in Delhi, where the government is reportedly considering allowing only electric two-wheelers for bike-taxis. Shifting to electric vehicles would also result in cost savings for everyone involved.

RAPIDO, WHICH RAISED SMALL ANGEL ROUNDS IN ITS FIRST THREE YEARS, NOW BOASTS OF INVESTORS SUCH AS SWIGGY, WESTBRIDGE, TVS MOTOR, SHELL VENTURES, YAMAHA AND NEXUS VENTURES

"Rapido has about half a million registered Captains and knows which vehicle they use and how old they are. Assuming that a person keeps his bike for five years, 20 per cent of the Captains on the platform will buy a new bike every year. That's 100,000 bikes. Today they all buy ICE vehicles. Rapido is trying to influence that decision," says an industry insider aware of the plans.

Rapido will act as an intermediary that brings together EV makers, financiers and insurance providers to help its fleet transition to EVs. Given the magnitude of the requirement, the company is seeing significant interest from players willing to offer the platform a commission.

Despite the regulatory vacuum, Rapido has tied up with TVS for supply of electric two- and three-wheelers. Apart from this, it has also tied up with RACEnergy—a battery swapping network provider—to deploy e-autos supported by RACEnergy's network, in Hyderabad.

Amidst the evolving landscape of the bike-taxi industry, the business models of today will see many iterations before the platforms find firm ground. However, one undeniable truth remains—the sheer convenience and economics of this model is fuelling its demand. And in the midst of it all, Rapido has not only emerged as the winner, but also the ultimate game-changer rewriting the rules of engagement. **BT**

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